

Global Covered Bonds

A primer

Global Covered Bonds Research

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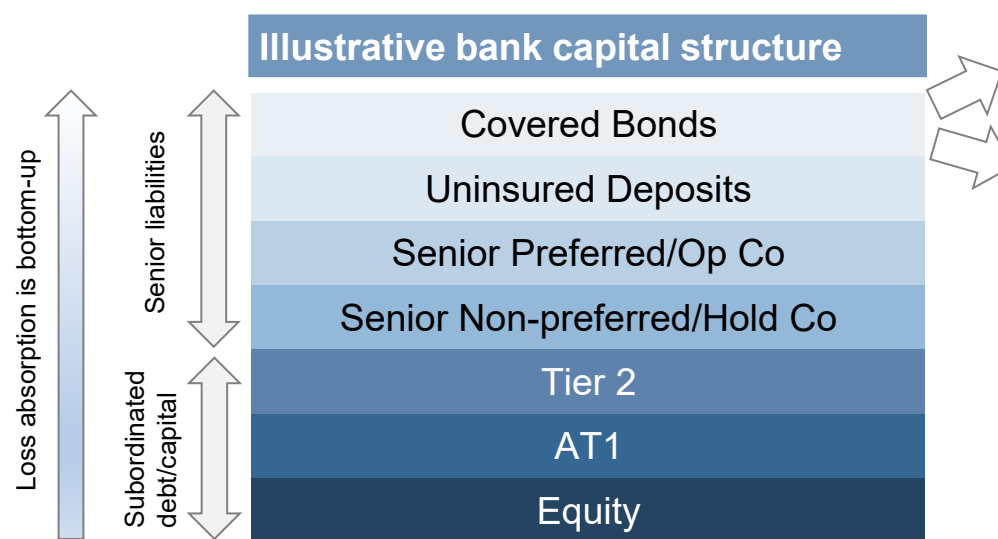
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First things first – how do you define it?

What is a covered bond?

- Covered bonds are essentially **secured, senior, bullet debt issued by banks**, that provide investors with **recourse to both the issuer and the underlying asset pool**. Directive (EU) 2019/2162 – the Covered Bond Directive (CBD) – provides a formal definition of the product.
- By law, **only banks (or their 'special' subsidiaries) can issue** covered bonds. Thus, specialist, non-deposit taking lenders cannot issue this debt.
- Covered bonds are explicitly excluded from bank bail-in under the BRRD.
- Covered bonds have been an important source of funding for European banks, and have been increasingly adopted across the globe.



Source: J.P. Morgan.

Dual recourse of the product is key

Recourse 1: Covered bonds have a dedicated pool of assets ringfenced or segregated, and no other creditor may access it prior to covered bondholders at the time of bankruptcy of a bank

Recourse 2: Covered bondholders also rank pari-passu with senior unsecured creditors (including uninsured deposits) should the ringfenced/segregated asset pool be insufficient

What is there in the cover pool?

- **Residential mortgages and commercial mortgages** for mortgage covered bonds.
- **Public-sector loans** feature for public-sector covered bonds.
- Substitute assets (such as liquid public-sector exposures, and cash) are also eligible up to 10-15% of the pool.
- Ship loans are permitted, while Japan, for instance, features RMBS in cover pools.

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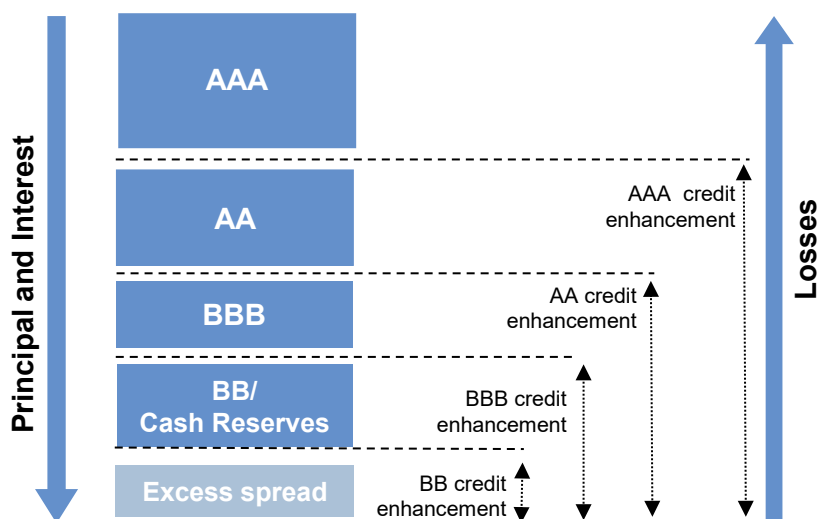
Covered bond sounds similar to ABS – are they really so?

Less similar, more different

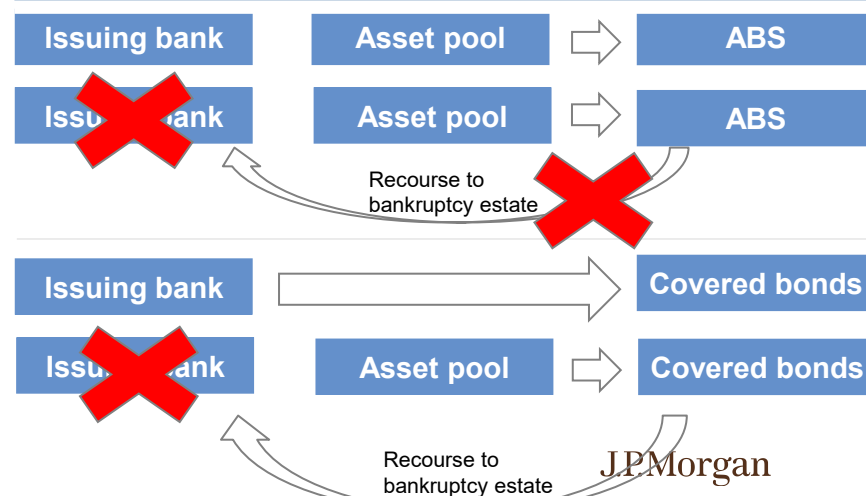
Covered bonds and ABS are 'secured funding' peers i.e. both have a pool of assets 'backing' them but that's pretty much where the similarity ends.

	Covered Bonds	ABS
Risk stratification	No tranching and all covered bonds are pari-passu to each other	Tranching is the hallmark of ABS, with different payment profile for different tranches
Cashflow	Directly from issuer as long as it is solvent, after which it derives from asset pool	Directly from asset pool
Amortisation	Typically bullet	Primarily pass-through
Credit enhancement	Overcollateralisation only	Excess spread, reserve funds, and subordination, in addition to overcollateralisation
Risk exposure	Basically 'bank' risk as long as it is solvent after which collateral performance matters	Fully exposed to asset pool from Day 1
Dual recourse	Secured by asset pool and has further claim on bankruptcy estate of issuer	Secured only by the asset pool and cannot resort to issuer/originator
Issuer	Banks (deposit-taking institutions)	Both banks and non-banks
Utility	Funding only	Both funding and risk-transfer possible

Illustrative ABS capital structure

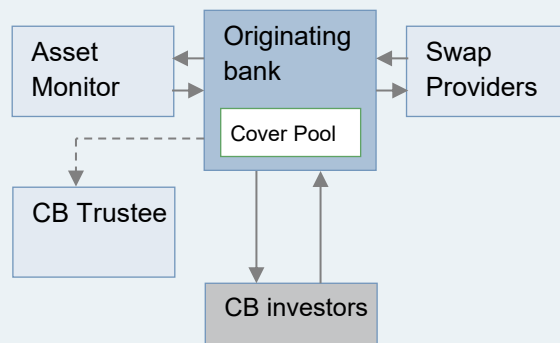


Illustrative payment (shown by arrows) pre- and post-bankruptcy of issuer



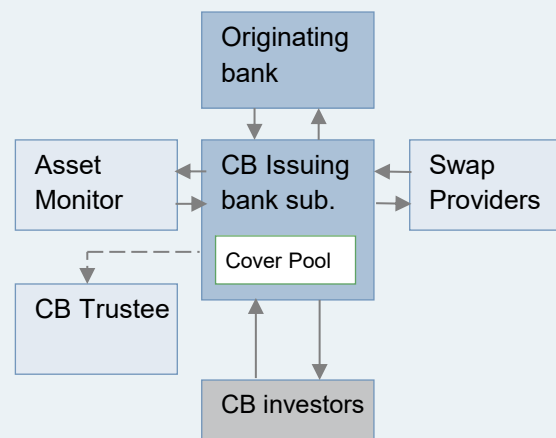
What do covered bond issuance structures look like?

On-balance sheet model



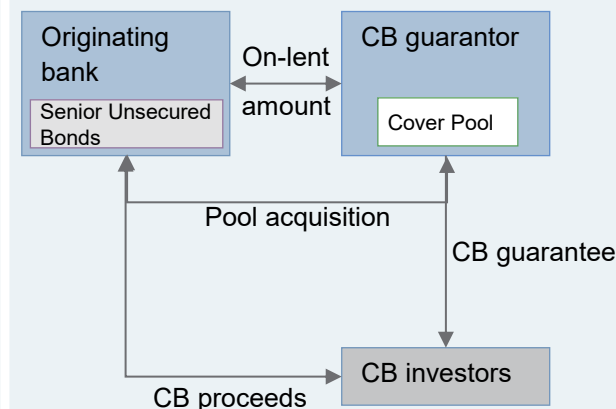
- The **'segregated' cover pool assets remain 'on balance-sheet' of the issuer**
- Cover pool assets are 'ringfenced' and **registered in a 'cover pool register'**. This is more of a **'necessity' for this model**, compared to the other two where it could be viewed as an 'optionality'
- Optically **less clean separation of cover pool assets** from remaining assets of the issuer although cover pool register and cover pool monitor (which typically audits the register) ensure segregation is achieved
- **Dual-recourse to the issuer is 'easier'** as the issuer is the same as the originating entity
- Countries include: Austria, Belgium, Czech Republic, Estonia, Finland, Germany, Iceland, Greece, Poland, Portugal, Slovakia, South Korea, Spain, Sweden

Specialist Bank model



- **Cover pool assets are at least 'physically' separated from the originator** in a 'specialist' entity which is actually the issuer
- A **'cleaner' separation of cover pool assets** is achieved, and the actual issuer may remain operating even if the ultimate parent (the originator) reaches bankruptcy
- Typically two ways to do this: a) via **'true sale'**, or b) via **'collateralised loan structure'** where the issuer's loan (essentially proceeds raised by covered bond issuance) to the originator is collateralised by the cover pool
- **'Up-streaming' of claims shortfall** (after using up cover pool) to the parent entity **may be problematic**, particularly for 'true sale'
- Countries include: Denmark, France, Ireland, Norway

Structured/Guarantor/SPV model



- **Sort of a hybrid of the other two**, with the **originator being the issuer but assets being clearly separated in an 'SPV'**
- Covered bonds here are actually *unsecured* obligations of the issuer, with **the proceeds raised from issuance on-lent to a 'guarantor'** (typically a limited liability SPV) which uses the 'loan' to acquire the cover pool from the originator (same as the issuer)
- **The 'guarantee' is activated following an insolvency of the issuer**, and the guarantor services the bonds from the pool proceeds
- **Dual-recourse to the issuer is 'stronger' than the 'specialist bank model'** as the issuer is the same as the originator
- Countries include: Australia, Canada, Japan, Italy, Netherlands, New Zealand, Singapore, Switzerland, UK

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What sort of structural protections are in place for covered bonds?

The emphasis is on cover pools, as covered bonds do not accelerate due to insolvency of issuers

- Covered bonds are obligations of issuers but **the product does not accelerate on insolvency of the issuing institution**.
- Insolvency of issuers imply bonds will resort to cover pools, for their interest and principal payments, without necessarily getting accelerated.
- **Only when such cover pool assets also fail to make bond payments**, as and when they fall due, **it may result in acceleration of the notes**.
- Directive (EU) 2019/2162 – the Covered Bond Directive (CBD) – requires that **cover pools must contain a liquidity buffer of sufficient liquid assets** (including HQLA Level 1, 2A, or 2B assets, or short-term exposures or deposits to sufficiently highly-rated credit institutions) to cover “*the maximum cumulative net liquidity outflow for 180 calendar days*”.
- **An overcollateralisation of at least 2%** is required to be treated as European Covered Bonds (Premium) under the CBD and the amended CRR.
- Generally, **2 typical tests involving a cover pool** preclude an unpleasant, ‘surprise’ discovery of deterioration of collateral to the detriment of investors.

Asset Coverage Test

- Intends **to ensure that there are sufficient cover pool assets to meet all outstanding covered bond liabilities** (generally including derivative hedges).
- Directive (EU) 2019/2162 – the Covered Bond Directive (CBD) – stipulates that aggregate (eligible) cover pool assets should at least equal all liabilities of covered bonds (including derivatives and admin fees); this is the ‘**nominal principle**’.
- In practice, jurisdictions (including those which are currently not compliant with CBD) go **above and beyond just simply meeting the ‘nominal’ asset coverage**. **This essentially gives rise to overcollateralisation (OC)** in covered bond programmes.
- Some **may choose to also meet the coverage requirement on an ‘NPV’ (net present value) basis**, while contractual terms of select jurisdictions/issuers **may also dictate certain ‘adjustments’ to cover pool assets to arrive at a ‘more conservative’ aggregate value of the collateral pool** before comparing it with covered bond liabilities.
- A **breach (pre-issuer insolvency) does not necessarily mean acceleration** of covered bonds but **results in stoppage of further issuance** if not cured.

Amortisation Test

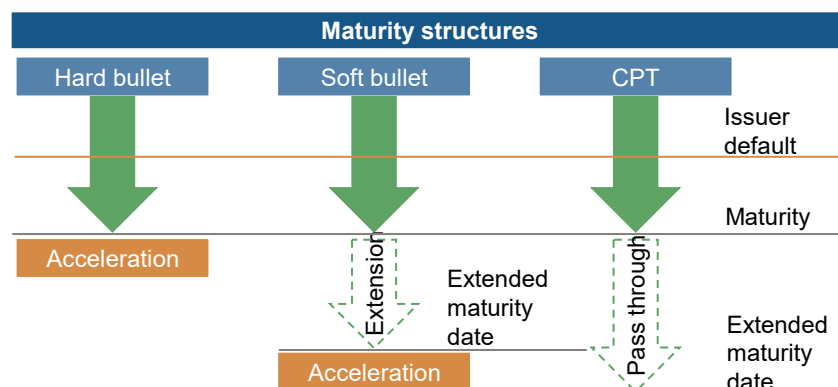
- Intends **to ensure that time-subordination does not result in a detrimental position for covered bonds maturing later**, by assessing if a certain ‘adjusted’ aggregate balance of cover assets at least equals total covered bond liabilities.
- Typically **results in an acceleration of the programme upon failure of the test** although the test is not present universally across jurisdictions/issuers. It is **primarily prevalent in jurisdictions employing the ‘Guarantor/SPV’ model**, and **the test is usually carried out following issuer’s insolvency** (or more broadly an event of default in relation to the issuer, such as a breach of the Asset Coverage Test).
- As a result, the failure of the test **may result in all covered bond liabilities becoming immediately due and payable on a pari-passu basis**.

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Tell me about the 'practical' lessons from the past

There has not been a covered bond default in the past 200+ years...

- Covered bond programmes have generally always relied on a **conservative approach to include assets** (such as 80% LTV limits on residential assets, exclusion of NPLs from the pool and/or tests etc.); these requirements have been now formalised and harmonised via the CBD and the amended CRR.
- On top of it, **programmes have generally featured ample overcollateralisation** (well above the legal requirements).
- And then, some programmes even came up with a conditional pass-through (CPT) structure (see below) to get around with the need to fire-sale assets.
- Notwithstanding all these, and the fact that covered bonds do not accelerate on issuer insolvency, history suggests that a **'solution' for covered bonds have relied more on dealing with the insolvency of the issuer as a first step instead of relying on the actual cover pool.**



Source: J.P. Morgan.

...even though many banks have failed, such as in the aftermath of the GFC and/or the Eurozone crisis

- Broadly speaking, the relatively recent bank failures show **that covered bond assets and liabilities have been either transferred to a 'good bank' or acquired by another entity** following an issuer insolvency. For instance:
 - ❖ In late 2000s, **Northern Rock, and Bradford & Bingley in the UK** were nationalised in the aftermath of the GFC, and put under UK Asset Resolution (UKAR), whereby the **covered bonds of the entities obtained HM Treasury's guarantee, and eventually got repurchased** ahead of maturity dates
 - ❖ In 2014/2015, **Banco Espírito Santo of Portugal** adopted the 'good bank/bad bank' strategy, with the 'problem' assets separated from other assets and **liabilities (including covered bonds) which were placed in a new bank, Novo Banco.**
 - ❖ In 2017, **Banco Popular Espanol of Spain** underwent bank resolution which saw its AT1 and Tier 2 written off as part of the resolution process, and then eventually **certain assets and liabilities (including covered bonds) were acquired by Banco Santander.**
- Article 20 of the CBD ensures that Member States **lay down tasks and responsibilities of special administrators, including those related to transfer of assets and liabilities attached to covered bonds**, following issuer insolvency or resolution.

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So, is this a rates product or a credit product?

A glimpse at covered bond ratings versus other 'typical' credit products

- According to our database of distributed global covered bonds (€1tn+):
 - ❖ c.95% are rated 'AAA' (as of Aug-26)
 - ❖ **99%+ are rated in the 'AA' bucket and above**
- Meanwhile, only c.60% of distributed European ABS (roughly €312bn total) are 'AAA', and c.78% are rated 'AA' and better (as of Jun-26).
- And, c.20% of EUR senior preferred are rated in the 'AA' bucket (no 'AAA'), per Markit's iBoxx index (as of Aug-26).

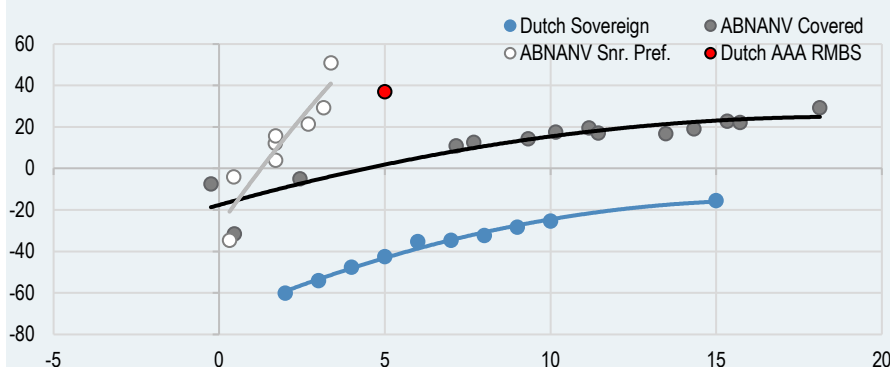
'Rates approach'

- 'Weakest' rates product:
 - ❖ Govies
 - ❖ SSAs
 - ❖ Covered bonds
- Worse regulatory treatment than 'rates' counterparts
- Main players:
 - ❖ Bank treasuries, official institutions, and central banks (including QE)
 - ❖ Insurance and pension companies
- Relative value trades are more prominent in this (dominant) approach

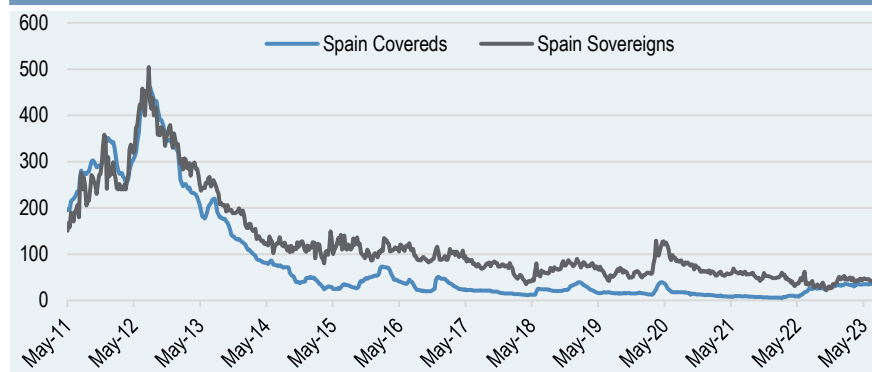
'Credit approach'

- 'Strongest' credit product:
 - ❖ Covered bonds
 - ❖ Securitised products (ABS & RMBS)
 - ❖ Senior unsecured (primarily senior preferred)
- Better regulatory treatment than 'credit' peers
- Main players:
 - ❖ 'Cross-over' accounts investing in securitisation and unsecured debt
 - ❖ Opportunistic faster money (notably around the time of previous crises) for name-specific stories

Illustrative, 'usual' spread relationship between covered bonds and other rates/credit products



Covered 'inside' sovereign spread relationship in Spain for most of the 2010s



How do rating agencies rate covered bonds?

CBs are usually rated much better than issuers themselves

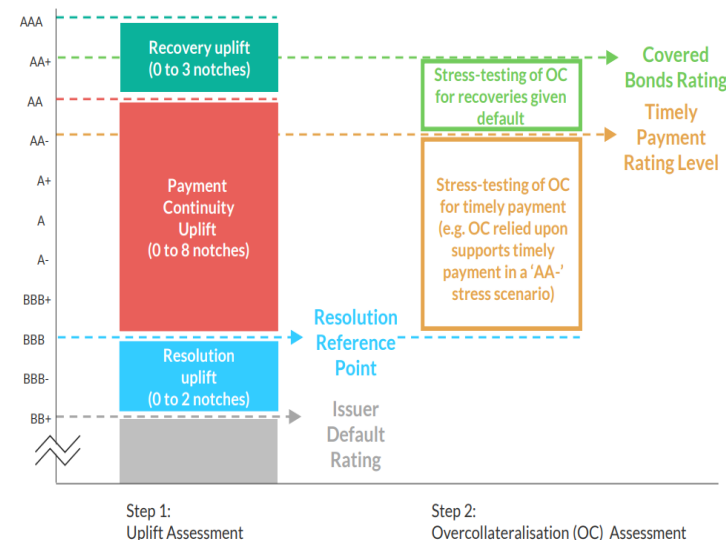
- The 'starting point' for covered bond rating analysis is typically the issuer rating.
- The **issuer rating is 'uplifted' by certain notches** to account for the **dual-recourse nature of the product**, as well as its **superior treatment under bank resolution** (such as no bail-in under the BRRD), and **potential jurisdictional support** amidst stressed market conditions.
- **Further notches of uplift may come from the stress-testing the underlying cover pool which features overcollateralisation (OC)**. Analysing cover pools accounts for various risks such as refinancing risks (including ALM mismatches), interest-rate and currency risks, as well as more broadly, an overall assessment of cover pool assets.
- **All these notches combined usually give a 'maximum' possible rating for covered bonds** although **that may be further fine-tuned** to account for nuances (such as sovereign rating 'ceilings', for instance).
- **Several notches of 'possible' uplift may also remain unused** owing to already 'high' issuer rating, in which case covered bonds have equivalent number of notches as **'buffer' against potential issuer downgrade**.

Moody's TPI table based on CB anchor rating

CB anchor	TPI					
	Very improbable	Improbable	Probable	High	High	Very High
A1 or above	Aaa	Aaa	Aaa	Aaa	Aaa	Aaa
A2	Aa1	Aa1	Aaa	Aaa	Aaa	Aaa
A3	Aa2	Aa2	Aaa	Aaa	Aaa	Aaa
Baa1	Aa3	Aa3	Aa1	Aa1	Aaa	Aaa
Baa2	A1	A1	Aa2	Aa2	Aa1	Aaa
Baa3	A3	A2	A1	Aa3	Aa2	Aa1
Ba1	Baa1-Baa3	A3-Baa2	A2-Baa1	A1-A3	Aa3-A2	Aa2-A1
Ba2	Baa2-Ba1	Baa1-Baa2	A3-Baa2	A2-Baa1	A1-A3	Aa3-A2
Ba3	Baa3-Ba2	Baa2-Baa3	Baa1-Baa3	A3-Baa2	A2-Baa1	A1-A3
B1	Ba1-Ba3	Ba1-Ba2	Baa3-Ba2	Baa1-Baa3	A3-Baa2	A2-Baa1
B2	Ba2-B1	Ba1-Ba3	Ba1-Ba3	Baa2-Ba1	Baa1-Baa3	A3-Baa2
B3	Ba3-B2	Ba2-B1	Ba1-Ba3	Baa3-Ba2	Baa2-Ba1	Baa1-Baa3

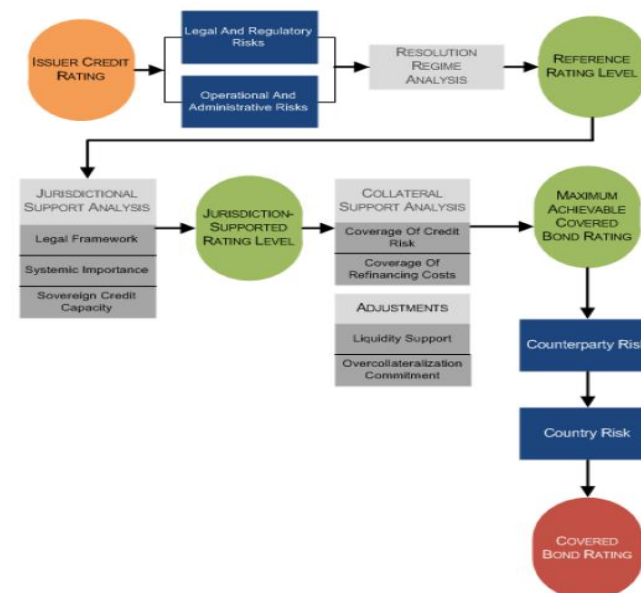
Source: Moody's. Note: TPI means Timely Payment Indicator. For a given CB anchor and a TPI, the table shows the maximum CB rating possible under the TPI framework, which may restrict the potential CB rating derived purely from expected loss analysis of the cover pool.

Fitch covered bonds ratings approach



Source: Fitch Ratings

S&P covered bonds ratings approach



Source: S&P

How standardised are covered bonds?

The Covered Bond Directive – A step towards harmonisation with room for manoeuvre

- Directive (EU) 2019/2162 – the Covered Bond Directive (CBD) – has devised **an EU-wide, harmonised covered bond framework**; it is **principles based**, with high-level guidance and recommendation, and **EU Member States have leeway to adopt some nuances** but not deviate from the CBD in spirit
- The CBD was officially finalised in December 2019, although it **came into effect on 8 July 2022**, after all Member States transposed the CBD into corresponding national laws.
- Full details of the CBD may be accessed by clicking [here](#) but the following bullets provide a high-level summary of the most relevant parts:
 - ❖ Article 52(4) of Directive 2009/65/EC, which loosely defined covered bonds, has been superseded with **a more formal definition of the product**, as well as formal enshrinement of dual-recourse and bankruptcy-remoteness of covered bonds via specific *Articles*.
 - ❖ **Defines ‘eligible cover assets’**, in part recalling Article 129(1) of Regulation (EU) No 575/2013 – the Capital Requirements Regulation (CRR) – and also taking into account the amendments to that Article (see below); assets outside the scope of Article 129 are subject to a 70% LTV limit and public-sector assets are subject to a minimum OC of 10%, while assets located outside the EU are also eligible subject to Member States/issuing institutions ensuring their EU-like security/enforcement standards.
 - ❖ **Creates two categories of covered bonds**, including ‘Premium’ and ‘Ordinary’ European Covered Bonds, where **‘Premium’ covered bonds comply with the requirements of Article 129 of the CRR, as amended by Regulation (EU) 2019/2160** (see below).
 - ❖ Hedging with derivatives is permitted, subject to certain criteria/documentation, and collateral posted as part of hedge needs to be segregated, alongside the cover assets.
 - ❖ Transparency for investors via reporting requirements (at least quarterly).
 - ❖ **Cover pools must contain a liquidity buffer of sufficient liquid assets** (including HQLA Level 1, 2A, or 2B assets, or short-term exposures or deposits to sufficiently highly-rated credit institutions) to cover *“the maximum cumulative net liquidity outflow for 180 calendar days”*.
 - ❖ Extendable maturity structures are permitted, with **“objective” extension triggers defined by national law rather than at the issuer’s discretion**.
 - ❖ The requirement of cover pool monitors, and covered bond public supervision by relevant competent authorities are also discussed in the CBD.

The amended CRR in relation to covered bonds – what it takes to obtain preferential riskweights (RWs)

- Article 129 of [Regulation \(EU\) No 575/2013 \(CRR\)](#), which originally dictated specific criteria for covered bonds to qualify for preferential RWs, has also been amended by Regulation (EU) 2019/2160 alongside the advent of the CBD.
- Full details of the amendments are [here](#) but a high-level summary is in the following bullets:
 - ❖ Defines ‘eligible’ assets (in addition to referencing the formal definition of the product under the CBD), within which, for physical assets, **LTVs are considered on a loan-by-loan basis** (Article 129(1c) and Article 129(1d) of the amended CRR), with residential loans, commercial, and ship loans capped at 80%, 60% (70%, depending on OC) and 60%, respectively.
 - ❖ Exposure to credit institutions with CQS 1, 2 and 3 ratings not to exceed 15% of the nominal value of covered bonds (10% if only comprised of CQS 2 and 3 exposures, and 8% if only CQS 3 exposures), in accordance with Article 129(1a) of the amended CRR.
 - ❖ **A minimum OC of 5%** (‘nominal’ basis, based on LTVs up to the limits stated above), although **Member States may lower the requirement to 2%** (Article 129(3a) of the amended CRR).

So, how are covered bonds treated under the CRR for bank investors?

CRR RWs for covereds – Status quo but the CBD and the amended CRR have revised criteria for new prints

- Under the Standardised Approach, **(EEA) covered bonds meeting the definition of the product laid down in Article 3 of the CBD and also complying with the amended Article 129 of the CRR** (both texts have EEA-relevance) are eligible for the following riskweights (RWs) **based on the (2nd best) rating** of the covered bond.

CQS	1	2	3	4	5	6
Rating	AAA or AA	A	BBB	BB	B	CCC and Below
RW	10%	20%	20%	50%	50%	100%

- For an **unrated covered bond**, the CQS mapping refers to the senior unsecured rating of the issuer but the final RW assigned to the covered bond corresponds to **the table above (with a minor difference such that 'A' attracts 15% RW and 'BBB' attracts 25%), with the 'Rating' row corresponding to the CQS rating of the senior unsecured bond.**
- Non-compliant covered bonds with respect to the CBD and/or the amended Article 129 of the CRR – primarily the non-EEA covered bonds –** are assigned RWs based on the following table, essentially corresponding to Article 120 of the CRR (exposures to rated credit institutions) but with the **'Rating' row corresponding to the CQS rating of the covered bond.**

CQS	1	2	3	4	5	6
Rating	AAA or AA	A	BBB	BB	B	CCC and Below
RW	20%	30%	50%	100%	100%	150%

- Under the Internal Ratings Based Approach (IRBA), RWs are derived using mathematical formulae and values for input parameters such as PD and LGD.
- Sovereign bonds of Member States, as well as the most prominent SSAs (such as the EU, CADES, KfW, NRW etc.), attract 0% RWs under the CRR.**

Grandfathering and 'unfinished business' in relation to the CBD and the amended CRR

- Grandfathering
 - ❖ **Covered bonds issued prior to 8 July 2022**, in accordance with Article 52(4) of Directive 2009/65/EC, are exempt from aligning with the CBD requirements.
 - ❖ **Tap issues of covered bonds issued prior to 8 July 2022, which abided by the requirements laid down in Article 52(4) of Directive 2009/65/EC, were possible for up to 24 months from this date**, subject to maturity (before 8 July 2027), tap size (total tap issues ≤2x the outstanding size as of 8 July 2022), and total size of the ISIN (≤EUR6bn)
 - ❖ Such grandfathered covered bonds retain their preferential RW treatment should they also meet criteria of Article 129 of the original CRR (see tables above)
- Further to-dos
 - ❖ The European Commission (EC) sought advice from the EBA in relation to **an assessment of the performance of the covered bond framework, a possible equivalence regime for third-country covered bonds, an assessment of risk and benefits of covered bonds with extendable maturities, and the possibility of introducing dual-recourse European Secured Notes collateralised by SME loans.** The EBA responded towards the end of 25Q3, although the EC has not yet come up with any definitive legislation pertaining to third-country equivalence, and hence it is still a work in progress. Meanwhile, the first ESN has seen the light of day in 2026, via **BPIfrance**, but there is no harmonised, special regulatory treatment of the product yet.

Source: All tables are from European Commission.

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What about the treatment under Solvency II for insurance accounts?

Covered bonds under Solvency II

- Preferential capital treatment for covered bonds for insurance investors have been laid down in Article 180 of [Regulation \(EU\) 2015/35](#) (Solvency II) which mentions “Text with EEA relevance”;
- **Preferential treatment is available only for EEA covered bonds, with CQS ratings 0 ('AAA') and 1 ('AA+' to 'AA-'), per the table below:**

CQS	0	1
Rating	AAA	AA+ to AA-
Duration up to 5Y	0.7% * Dur	0.9% * Dur
Duration 5Y+	$\min(3.5\% + 0.5\% * (\text{Dur} - 5); 1)$	$\min(4.5\% + 0.5\% * (\text{Dur} - 5); 1)$

- Otherwise, capital charges are calculated based on the table below (Article 176):

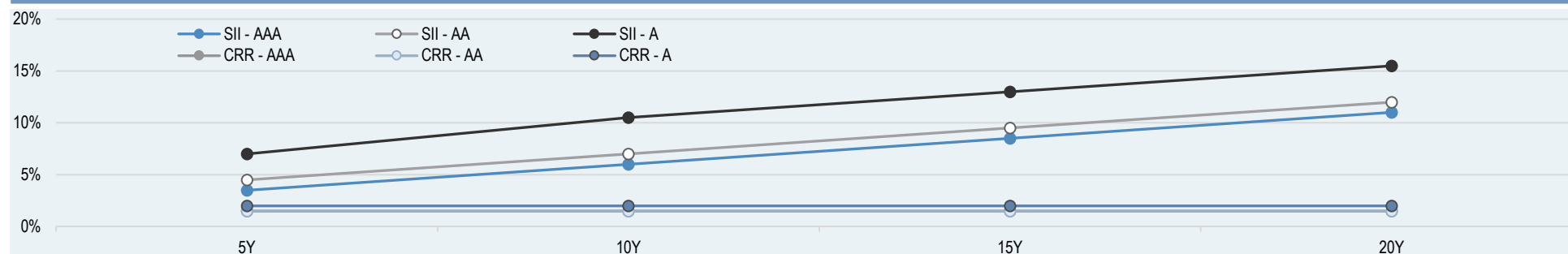
CQS		0		1		2		3		4		5 and 6	
Rating		AAA		AA+ to AA-		A+ to A-		BBB+ to BBB-		BB+ to BB-		B+ and below	
Duration	Formula	a	b	a	b	a	b	a	b	a	b	a	b
Dur up to 5Y	b * Dur	-	0.9%	-	1.1%	-	1.4%	-	2.5%	-	4.5%	-	7.5%
5<Dur<=10	a + b*(Dur-5)	4.5%	0.5%	5.5%	0.6%	7.0%	0.7%	12.5%	1.5%	22.5%	2.5%	37.5%	4.2%
10<Dur<=15	a + b*(Dur-10)	7.0%	0.5%	8.4%	0.5%	10.5%	0.5%	20.0%	1.0%	35.0%	1.8%	58.5%	0.5%
15<Dur<=20	a + b*(Dur-15)	9.5%	0.5%	10.9%	0.5%	13.0%	0.5%	25.0%	1.0%	44.0%	0.5%	61.0%	0.5%
Dur 20Y+	min(a + b*(Dur-20);1)	12.0%	0.5%	13.4%	0.5%	15.5%	0.5%	30.0%	0.5%	46.5%	0.5%	63.5%	0.5%

- **Similar to the CRR, the instrument's 2nd best rating is used for deriving Solvency II capital charges.**
- Unrated covered bonds derive capital charges based on the table below:

Duration up to 5Y	5<Duration≤10	10<Duration≤20	Duration 20Y+
3% * Dur	$15\% + 1.7\% * (\text{Dur} - 5)$	$23.5\% + 1.2\% * (\text{Dur} - 10)$	$\min(35.5\% + 0.5\% * (\text{Dur} - 20); 1)$

- **Sovereign bonds of Member States, as well as the most prominent SSAs (EU, CADES, KfW, NRW etc.), have 0% charge under Solvency II.**

Illustrative capital charges for AAA to A covered bonds under Solvency II and CRR



Source: All tables are from European Commission. Note: i) Solvency II capital charges have been calculated directly from the tables above while CRR capital charges have been obtained by multiplying relevant RWs with 15% capital charge; ii) We have assumed covered bonds satisfy criteria for preferential treatment wherever applicable.

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Tell me about the treatment under LCR rules for bank treasuries

LCR treatment of covereds – Unchanged but accounts for the advent of the CBD and the amended CRR

- [Regulation \(EU\) 2022/786](#) has made some necessary/relevant amendments to [Regulation \(EU\) 2015/61](#) (original LCR) to account for the advent of the CBD.
 - ❖ 'Covered Bond' reference now points to the definition laid down in Article 3(1) of the CBD, with grandfathering of bonds issued prior to 8 July 2022 in place.
 - ❖ The concept of 'cover pool liquidity buffer' of sufficient liquid assets (including HQLA Level 1, 2A, or 2B assets, or short-term exposures or deposits to sufficiently highly-rated credit institutions) to cover *"the maximum cumulative net liquidity outflow for 180 calendar days"* which has been introduced by Article 16 of the CBD created a 'double-counting' issue for meeting 'general' liquidity coverage requirement. This has been dealt with by **qualifying assets held under the 'cover pool liquidity buffer' as unencumbered** (Article 7(2a) up to the amount of net liquidity outflows associated with the covered bond programme, thus **precluding the need to hold a separate, equivalent amount of unencumbered assets towards meeting the overall LCR metric**.
 - ❖ Moreover, **explicit reference to meet the transparency requirement laid down in Article 14 of the CBD has also been made in the amended LCR. This is mainly relevant for third-country (i.e. non-EEA) covered bonds which do not have an equivalent CBD regime yet.**

Level 1 covered bonds (maximum holding 70% of total LCR portfolio)	
	EEA covered bonds
High-level criteria	Meets the definition laid down in Article 3(1) of the CBD (subject to grandfathering) Exposure to institutions in the cover pool meet the requirements set out in Article 129(1), point (c), and in Article 129(1a) of the amended CRR
Size	€500mm and above (equivalent)
Rating	"AA-" and above (or attracts 10% RW in absence of rating)
OC	2% or more
Haircut	7%
Level 2A covered bonds (maximum holding 40% of total LCR portfolio)	
	EEA covered bonds
High-level criteria	Meets the definition laid down in Article 3(1) of the CBD (subject to grandfathering) Exposure to institutions in the cover pool meet the requirements set out in Article 129(1), point (c), and in Article 129(1a) of the amended CRR
Size	€250mm and above (equivalent)
Rating	"A-" and above (or attracts 20% RW in absence of rating)
OC	7% or more, or 2%+ if rated "AA-" or above and size lower than €500mm (equivalent)
Haircut	15%
	Non-EEA covered bonds
High-level criteria	Compliant with national covered bond legislation which includes public supervision equivalent to that in the EU Backed by exposures to the public sector, residential, commercial or ship mortgages in accordance with Article 129(1) of the amended CRR, and immovable properties should satisfy certain enforceability and valuation criteria laid down in select points of Article 6 of the CBD Exposure to institutions in the cover pool meet the requirements set out in Article 129(1), point (c), and in Article 129(1a) of the amended CRR Meets transparency requirements laid down in Article 14 of the CBD
Size	Not specified
Rating	"AA-" and above (or attracts 10% RW in absence of rating)
OC	7% or more, or 2%+ if size at least €500mm (equivalent)
Haircut	15%
Level 2B covered bonds (maximum holding 15% of total LCR portfolio)	
	EEA covered bonds
High-level criteria	Meets the definition laid down in Article 3(1) of the CBD (subject to grandfathering) but only backed by exposures to the public sector or residential mortgages. Assets must attract a riskweight of <35%
Size	€250mm and above (equivalent)
Rating	Not specified
OC	10% or more (monthly disclosure)
Haircut	30%

Source: European Commission. Note: i) Sovereign bonds of Member States, as well as the most prominent SSAs (such as the EU, CADES, KfW, NRW etc.), incur no haircuts under LCR; ii) Corporate bonds may qualify as Level 2A ("AA-" and above, 15% haircut) or Level 2B ("BBB-" and above, 50% haircut), while ABS now typically qualify as Level 2B only (and incur haircuts of 15-25%, subject to certain criteria).

Finally, how are covered bonds treated under the ECB repo facility?

A new (but somewhat similar), revised ECB repo haircut framework is in place since 29 June 2023

- Broadly speaking, **EUR-denominated bonds, rated 'BBB-' and above (recently changed from 1st best rating to 2nd best rating or one notch lower if rated by only one agency) and issued by an EEA-based issuer** are eligible for ECB repo. **Non-EEA, G10-based issuers' debt instruments (denominated in EUR) may be also eligible** subject to legal assessment.
- Various categories of assets are eligible but **covered bonds, for instance, benefit from a 'close links' exemption**, meaning retained covered bonds may be used as ECB repo collateral unlike, for example, own-issued senior unsecured debt.
- The categories of eligible assets are listed below, with **covered bonds having now been entirely classified as only Category II assets** (from both II and III previously), while the haircuts for covered bonds are also listed in the table below, which now incorporate a more granular approach for theoretically valued covered bonds, a more granular approach for residual maturities longer than 10Y, and **a comparable treatment for floating-rate and fixed-rate covered bonds based on maturity (versus floating-rate bonds having previously been 'beneficially' treated as fixed-rate bonds with residual maturity of less than 1Y)**. All these changes were incorporated in the [latest review](#) and **took effect on 29 June 2023**. However, **the ECB is working towards potentially changing the haircuts, including the current 'add-on' approach for retained deals, and this will come into effect earliest by November 2026**.
 - ❖ Category I – Central government debts, Central bank debts, EU debts, ECB debt certificates
 - ❖ Category II – **Legislative covered bonds (and multi cédulas)**, Local & regional government debts, agency debts, MDB/International Org. debts (ex-EU)
 - ❖ Category III – Non-financial corporate debts, Corporations in government sector debts
 - ❖ Category IV – Unsecured debts issued by credit institutions/agencies which do not qualify as Category II assets, Unsecured debts of financial corporates
 - ❖ Category V – Asset-backed securities (ABS)

CQS 1-2 AAA to A-			CQS 3 BBB+ to BBB-		Additional haircut
Residual maturity (yrs)	Fixed/Floating coupon	Zero coupon	Fixed/Floating coupon	Zero coupon	Theoretically valued bonds
[0,1)	1.0%	1.0%	5.5%	5.5%	1.5%
[1,3)	1.5%	2.5%	7.5%	10.5%	2.5%
[3,5)	2.5%	3.5%	11.0%	16.0%	3.0%
[5,7)	3.5%	4.5%	12.5%	17.0%	3.5%
[7,10)	4.5%	6.5%	14.0%	21.0%	4.5%
[10,15)	6.5%	8.5%	17.0%	25.5%	6.0%
[15,30)	8.0%	11.5%	20.0%	28.5%	8.0%
[30, ∞)	10.0%	13.0%	22.0%	32.5%	13.0%
Additional haircut for own- use bonds			8.0%		12.0%

- **Category I fixed/floating coupon assets benefit from lower haircuts vs. corresponding Category II assets** (i.e., including covered bonds) by 0.5% for residual maturities up to 3Y, 1% for [3,5), 1.5% for [5,10), 2.5% for [10,15), 3% for [15,30), and 4% for 30Y+.

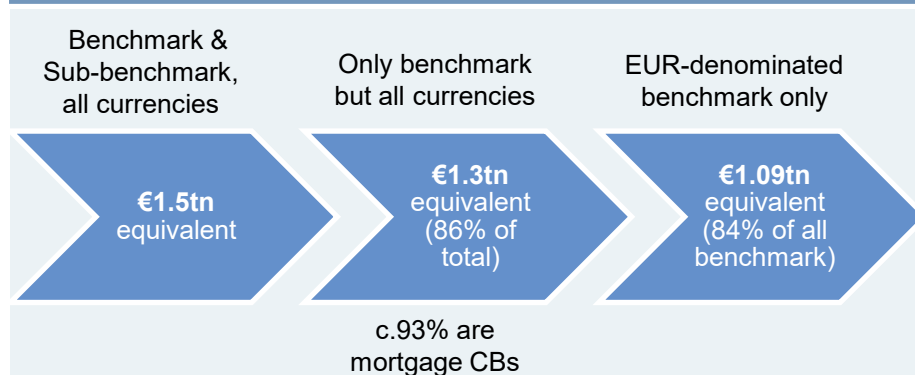
Note: i) Residual maturity for theoretically valued bonds shall be the originally scheduled maturity (unless an extension has been triggered); ii) residual maturity for own-use bonds shall be the maximum maturity possible under soft-bullet extension, or shall correspond to [10,15) year category for conditional pass-through structures.

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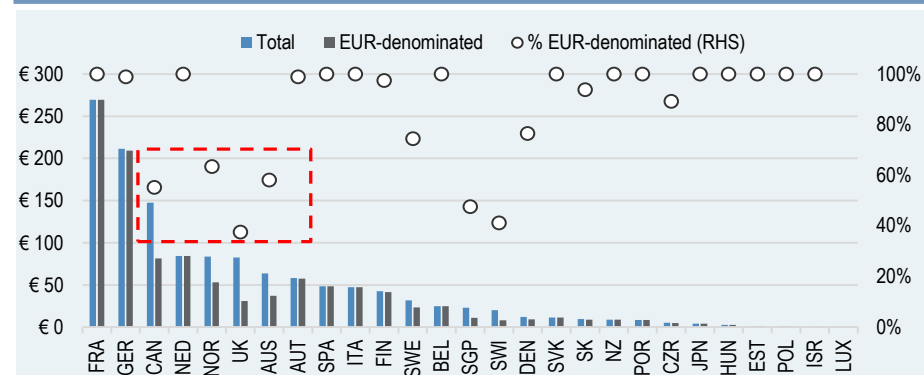
The outstanding covered bond universe – a statistical, one-slide overview

'Widely' distributed global outstanding volume



Source: J.P. Morgan, Dealogic. Note: We exclude retained and private transactions. Data as at around mid-August 2026.

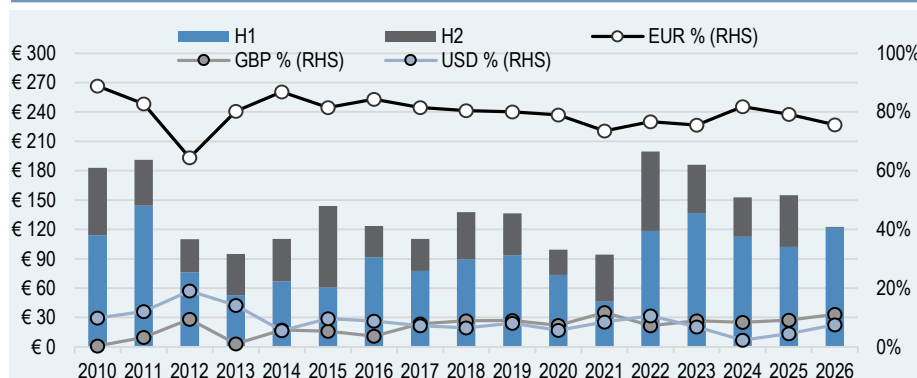
Distributed benchmark outstanding by country



Source: J.P. Morgan, Dealogic. Note: We exclude retained and private transactions. The red box illustrates prominent jurisdictions which publicly issue in non-EUR. Data as at around mid-August 2026.

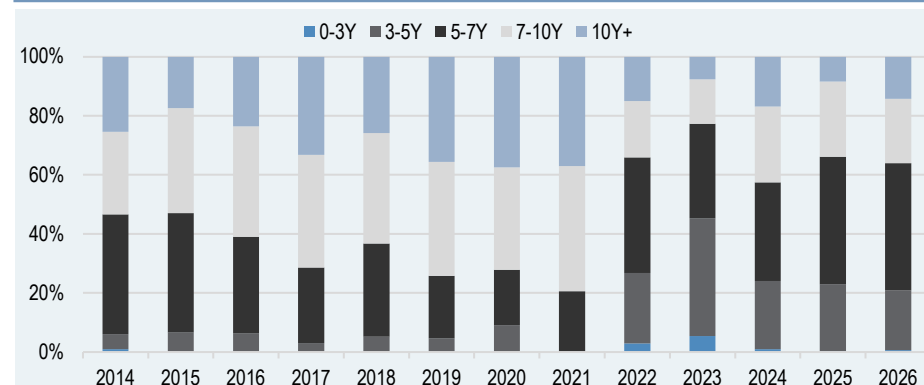
- **Denmark is technically the largest covered bond jurisdiction** (€460bn as of 2024, according to the ECBC) although much of the Danish product is issued in both the domestic currency and non-benchmark format, resulting in their **placement with the local investor base generally and not 'widely' sold**. Switzerland is also a large jurisdiction technically (€195bn as of 2024, according to the ECBC), albeit almost entirely denominated in CHF, while Sweden and Norway also have sizeable local currency issuance.
- **'Widely' distributed GBP and USD supply primarily come from Australia, Canada, the UK**, and occasionally from Germany, although **the UK is generally much more active in GBP than EUR**.
- **72% of the outstanding EUR benchmark universe have remaining tenors ≤5Y**, while 10Y+ total c.4%; as long as 20-25Y bonds have been sold.
- **c.10%, or c.€115bn equivalent are ESG-labelled benchmark covered bonds** (as of August 2026), of which **close to three-fourths are Green**.

How much EUR benchmark covereds are sold annually, and what's the %-split between €/£/\$?



Source: J.P. Morgan, Dealogic. Note: We exclude retained and private transactions. Percentages shown are proportions of total benchmark volume 'widely' sold, across all currencies. 2026 data as at around mid-August.

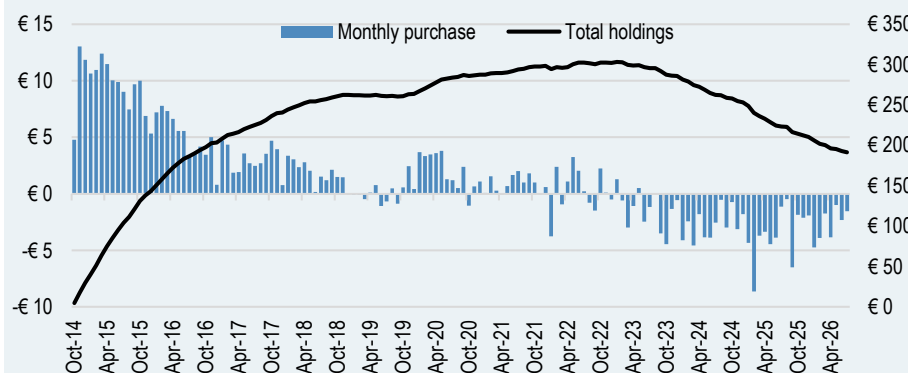
What is the maturity profile of EUR benchmark supply?



Source: J.P. Morgan, Dealogic. Note: We exclude retained and private transactions. 2026 data as at around mid-August.

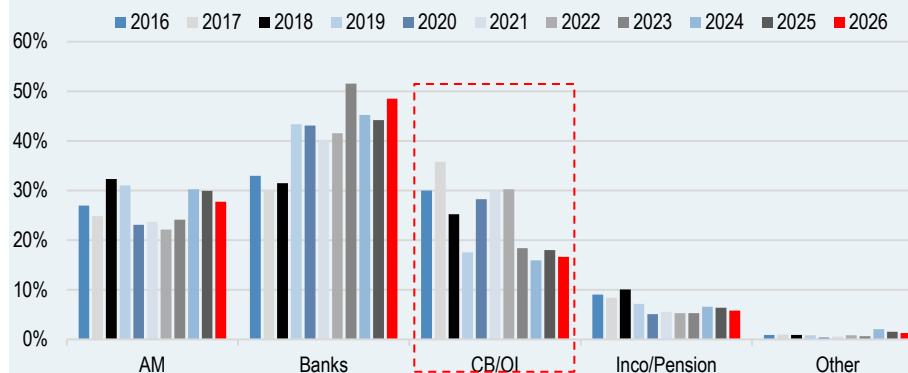
Covered bonds and the ECB – a profound relationship

Monthly net CBPP3 purchases and cumulative CBPP3 outstanding volume; €bn



Source: J.P. Morgan, ECB. Note: Data through the end of July 2026.

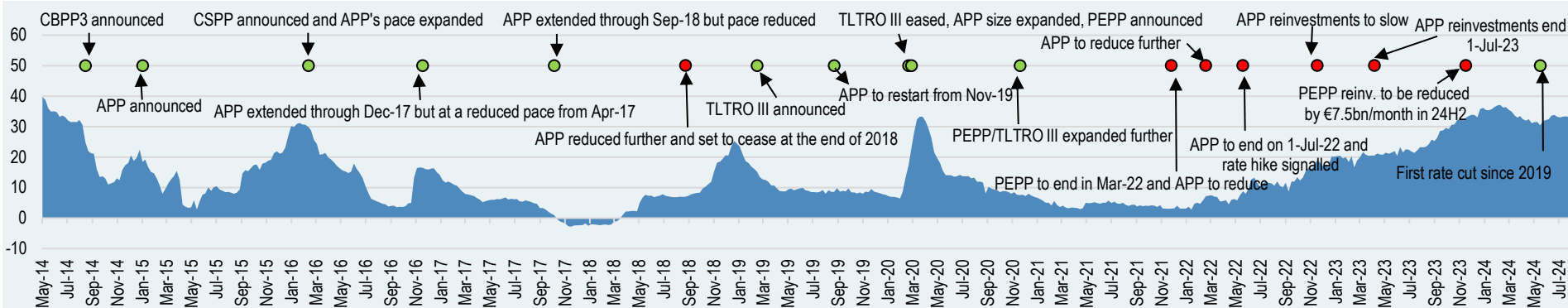
Primary market participation in EUR-benchmark, Eurozone CBs; %



Source: J.P. Morgan, Dealogic, Bloomberg Finance L.P., IFR. Note: 2026 data as at around mid-August.

- **CBPP3 portfolio topped at slightly above €300bn**, and it is currently in a run-off phase after **8+ years in operation**, due to the **stoppage of APP reinvestments since 1 July 2023**. CBPP1 and CBPP2 each ran for roughly one year, during 2009-10 and 2011-12, respectively, although aggregate purchases under the two were small at c.€76bn; both have fully run off.
- **The ECB currently holds about one-fourth of the ‘eligible’ outstanding covered bond universe (c.€800bn as of Aug-26)**, although CBPP3 comprises less than 10% of APP currently (c.€2.1tn).
- CBPP3 has evidently acted as a **backstop for covered bond spreads** at times of market volatility.
- Besides QE, **retained covered bonds have also played a big role in terms of availing central bank funding** such as via TLTRO III and regular repo facilities; **€700bn+ of covered bonds were posted as collateral at the time of peak TLTRO III usage** amidst the pandemic, while **c.€500bn of covered bonds were still outstanding as ECB collateral as of 26Q2**, likely for liquidity management.

EUR covered bond spreads and relevant ECB announcements between 2014 and 2024; bp



Source: J.P. Morgan, Markit, ECB. Note: Data shown for the relevant period (c.2014-2024) to capture the timeline when the ECB was particularly involved in covered bonds via QE (until mid-2023), and the central bank once again embarked on a cutting cycle (c.mid-2024) after having hiked rates in 2022/23. Green dots represent supportive developments, while red dots indicate unsupportive announcements.

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Latest J.P. Morgan Global Covered Bond Research

■ **Global Covered Bond Update**

- Retained haircuts and MRR, [7 August 2026](#)
- Views from the road: Low-key picturesque, [10 July 2026](#)
- Summer vibes from Frankfurt, [26 June 2026](#)
- Staying the (supply) course, [5 June 2026](#)
- Bpifrance readies inaugural ESN, and Canadian LCR rules 'upgrade' covereds, [29 May 2026](#)
- Never mind (that RWs for covereds won't be lowered), [8 May 2026](#)
- In a good place - Takeaways from the Bloomberg Covered Bond Forum, [17 April 2026](#)
- EUR CB-SSA RV Spread Analytics: April 2026, [14 April 2026](#)
- Česká spořitelna - Profiling a potential new Czech issuer, [9 April 2026](#)
- Wartime wayfinding, [24 March 2026](#)
- Thoughts on covered bond valuations amidst the Middle East crisis, [4 March 2026](#)
- UK regulatory brief - Continuing on the right track, [20 February 2026](#)

■ **Global Covered Bond Market in Review**

- April digest, [1 May 2026](#)
- The Ides of March wrap up Q1, [31 March 2026](#)
- Cruising along, [27 February 2026](#)
- That was the month that was, [30 January 2026](#)
- Stranger Things?, [23 January 2026](#)
- A banger fortnight commenced 2026, [16 January 2026](#)

■ **Other publications**

- Global Covered Bonds 26H2 Outlook, [17 June 2026](#)
- Global Covered Bonds 2026 Outlook, [14 November 2025](#)
- Global Covered Bonds: All you wanted to know about their treatment under EU regulations, [28 July 2023](#)

■ **Global Covered Bond – Latest analytics, datasheet, and overnight wrap**

- Covered Bond Weekly Analytics, [7 August 2026](#)
 - The excel-based publication provides a comprehensive insight into secondary spread performance, RV vs. select SSAs, and user-friendly tools to compare and contrast issuer spread curves and bond-level performance up to a trailing 2-year horizon. It also has a tool to compare evolution of covered bond spreads versus senior preferred.
- Covered Bond Weekly Datasheet, [7 August 2026](#)
 - The excel-based publication provides extensive details of primary market supply by year, country and currency. It also shows aggregates of upcoming redemption volumes, and high-level evolution of spreads of covered bonds and comparable products.
- Global Covered Bond Wrap, [31 July 2026](#)
 - The publication provides an overview of previous day's new issue prints, mandate announcements, and rating actions.

- Visit the [J.P. Morgan Markets landing page of Global Covered Bonds](#) for all publications related to the asset-class.

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